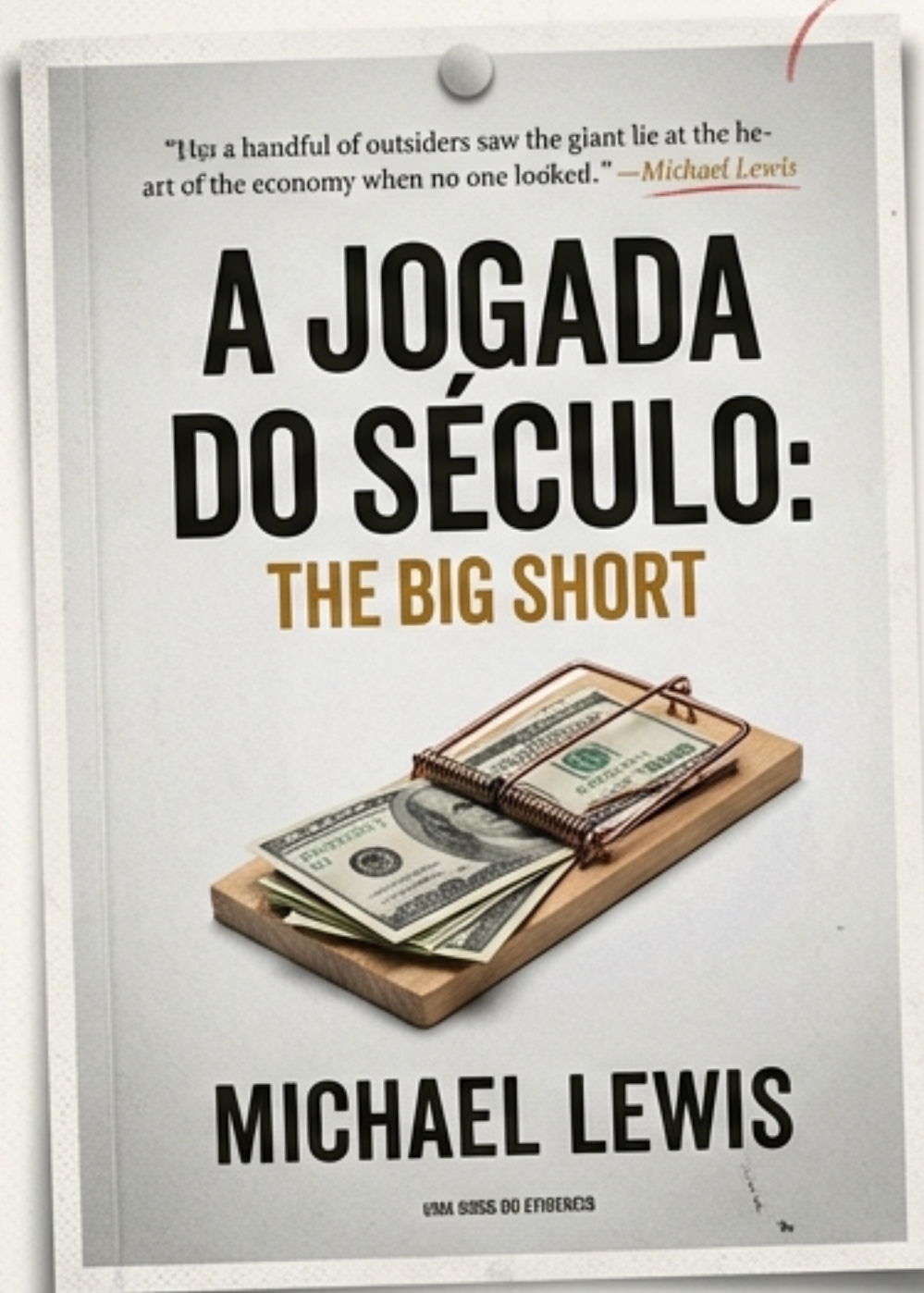




# 'THE BIG SHORT: INSIDE THE DOOMSDAY MACHINE'

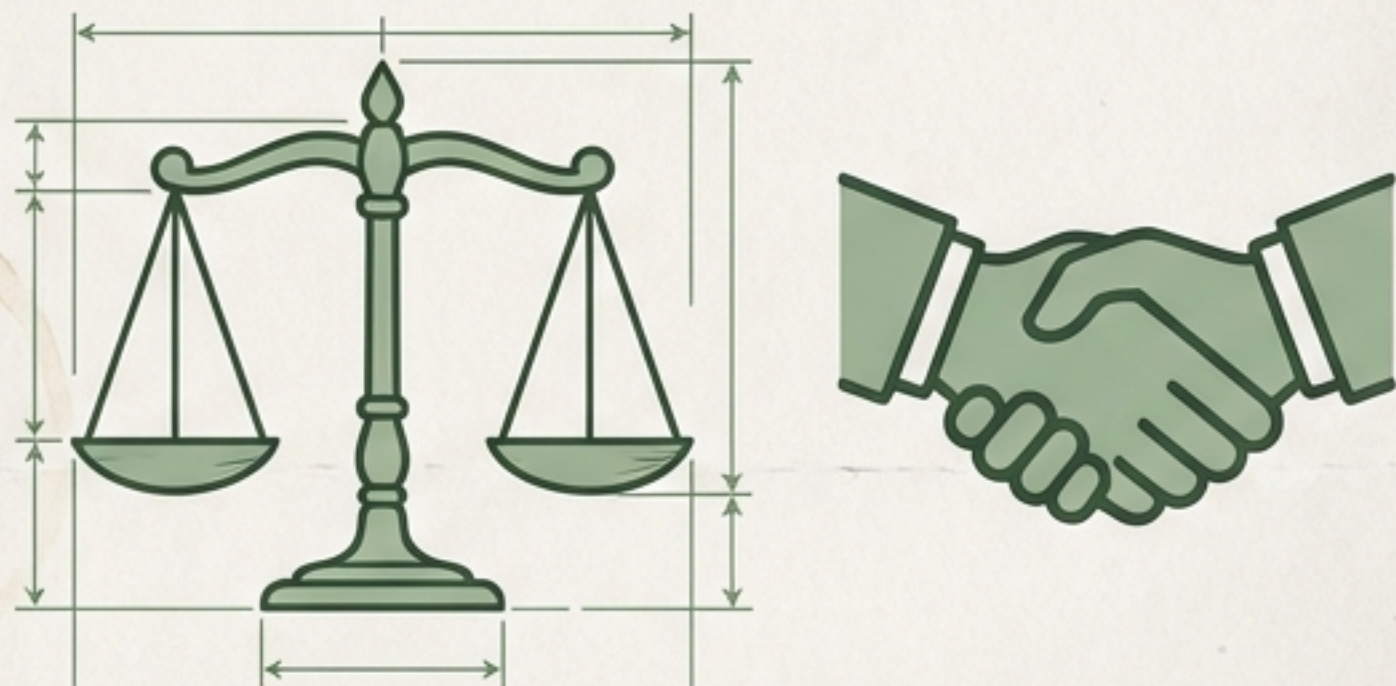
How a handful of outsiders saw the giant lie at the heart of the economy when no one else looked.

Based on the work of Michael Lewis



# THE GHOST OF WALL STREET PAST

## 1980s: ALLOCATION

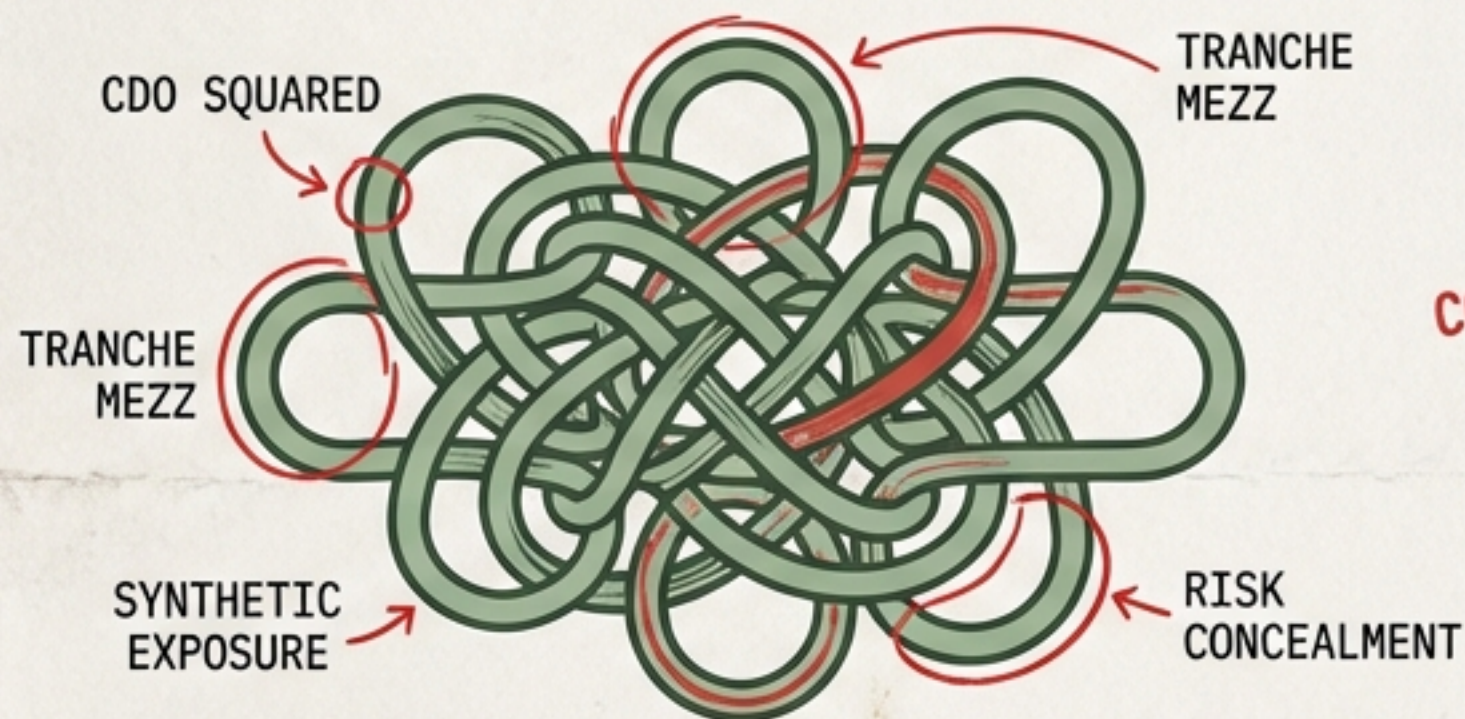


**Function:** Decide who receives capital.

**Bond Trader Salary:** Moderate

↳ Capital Allocation Focus.  
Stable, long-term perspective.

## 2005: REPACKAGING



**Function:** Repackaging debt into products.

**Bond Trader Bonus:** \$47 Million (feels cheated)

↳ Financial Engineering Focus. Short-term gains, systemic risk, fraudulent data.

*"I thought I was writing a period piece about the 1980s... I never imagined that the future reader might look back on Liar's Poker and say 'How quaint.'" — Michael Lewis*

SOURCE: LIAR'S POKER, MICHAEL LEWIS. INTERVIEW

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EVIDENCE

SUBPRIME CRISIS

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LEVERAGE!



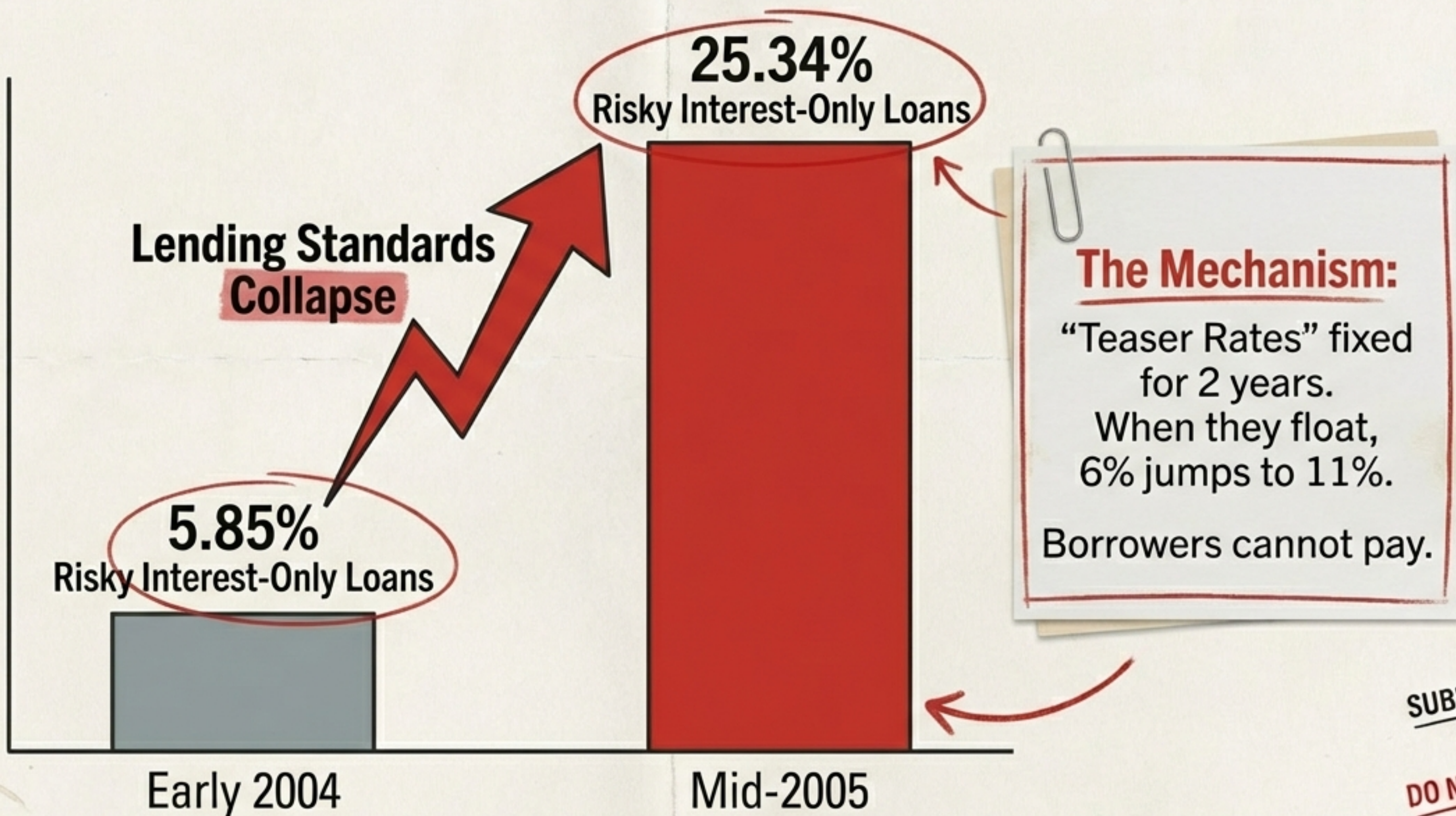
# Dr. Michael Burry, Scion Capital

- **Background:** Neurology Resident.
- **Trait:** Extreme Focus / Social Isolation.
- **Method:** Reading the 130-page Prospectus.

*"I don't know how to be funny.  
I don't know how to be charming...  
I don't know how to look you  
in the eye."*



# THE TICKING TIME BOMB: 2005 VINTAGE



SOURCE: LIAR'S POKER, MICHAEL LEWIS. INTERVIEW



SUBJECT  
BUREAU  
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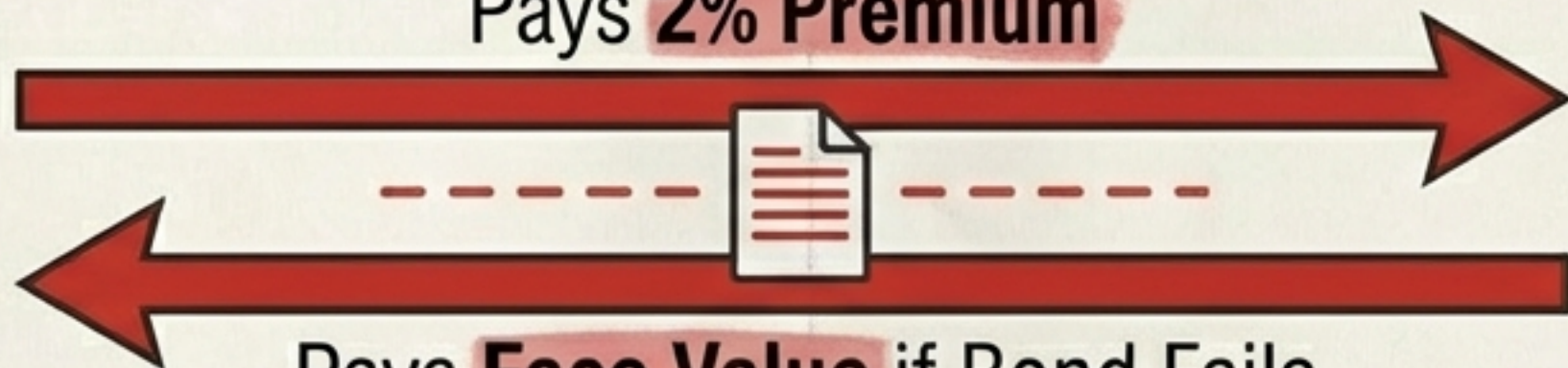
# FIRE INSURANCE ON A BURNING HOUSE

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## Credit Default Swap (CDS)

  
**Michael Burry**

Pays **2% Premium**



Pays **Face Value** if Bond Fails

  
**Bank**  
(Goldman/Deutsche)

Wall Street View: **Free Money.**  
Burry View: **Certainty of Fire.**

Defined **Loss**  
(Premium)



Potential Gain  
(30x – 50x Payout)

Asymmetry

**SUBPRIME CRISIS**

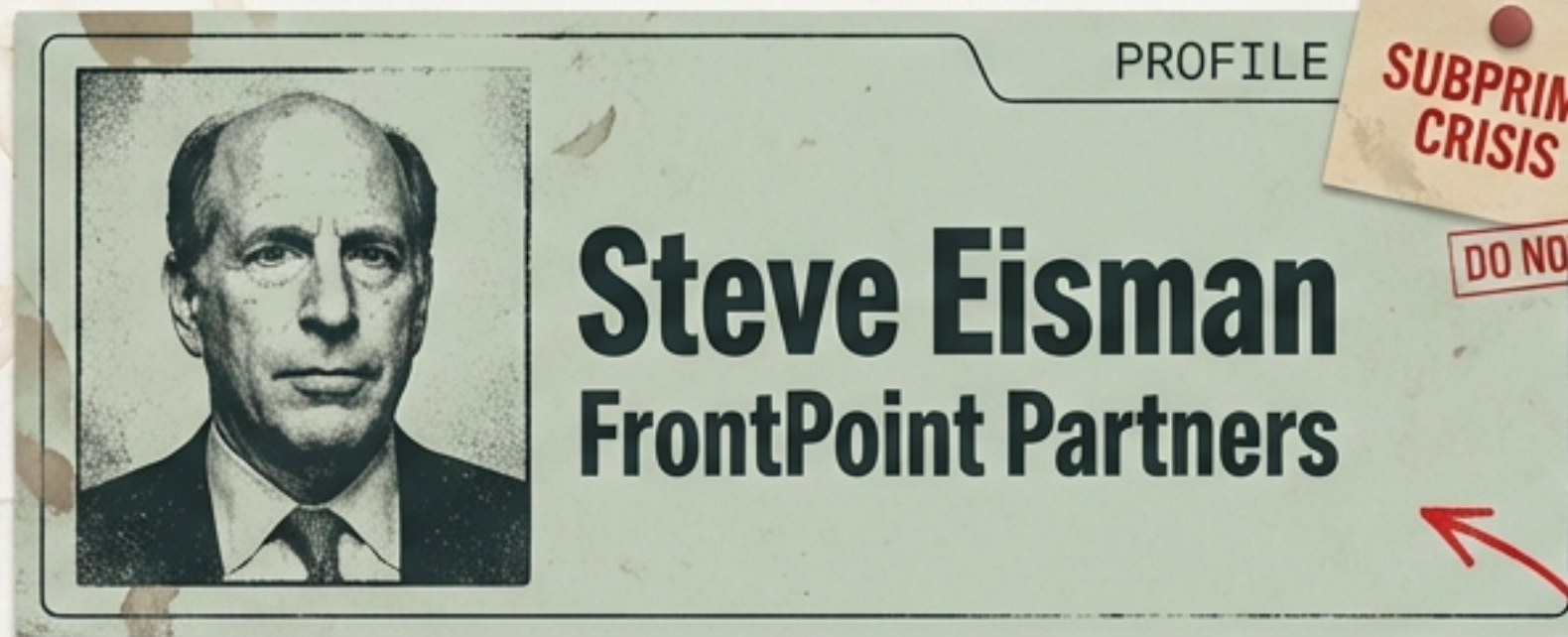
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# THE RAGE OF STEVE EISMAN

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- **Trait:** Unfiltered, obsessed with honesty.
- **Worldview:** Class warfare. Screwing the poor vs. Regulating the rich.
- **Insight:** The Equity World is subservient to the Bond World.



**The Household Finance Lesson:** An entire industry existed to rip people off.  
Univers Monospace

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# I'M SHORTING YOUR HOUSE

The Catalyst: Greg Lippmann, Deutsche Bank.

**Target:** Home Equity  
Mezzanine Tranches.

*"Home prices don't need  
to crash. They just need  
to STOP RISING."*

**Persona:** Mercenary,  
transparent,  
"The Asshole known  
as Greg Lippmann".

**Strategy:** Short the BBB  
bonds.

Eisman didn't trust the man, but he trusted the data.

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# THE TRANCHE TOWER

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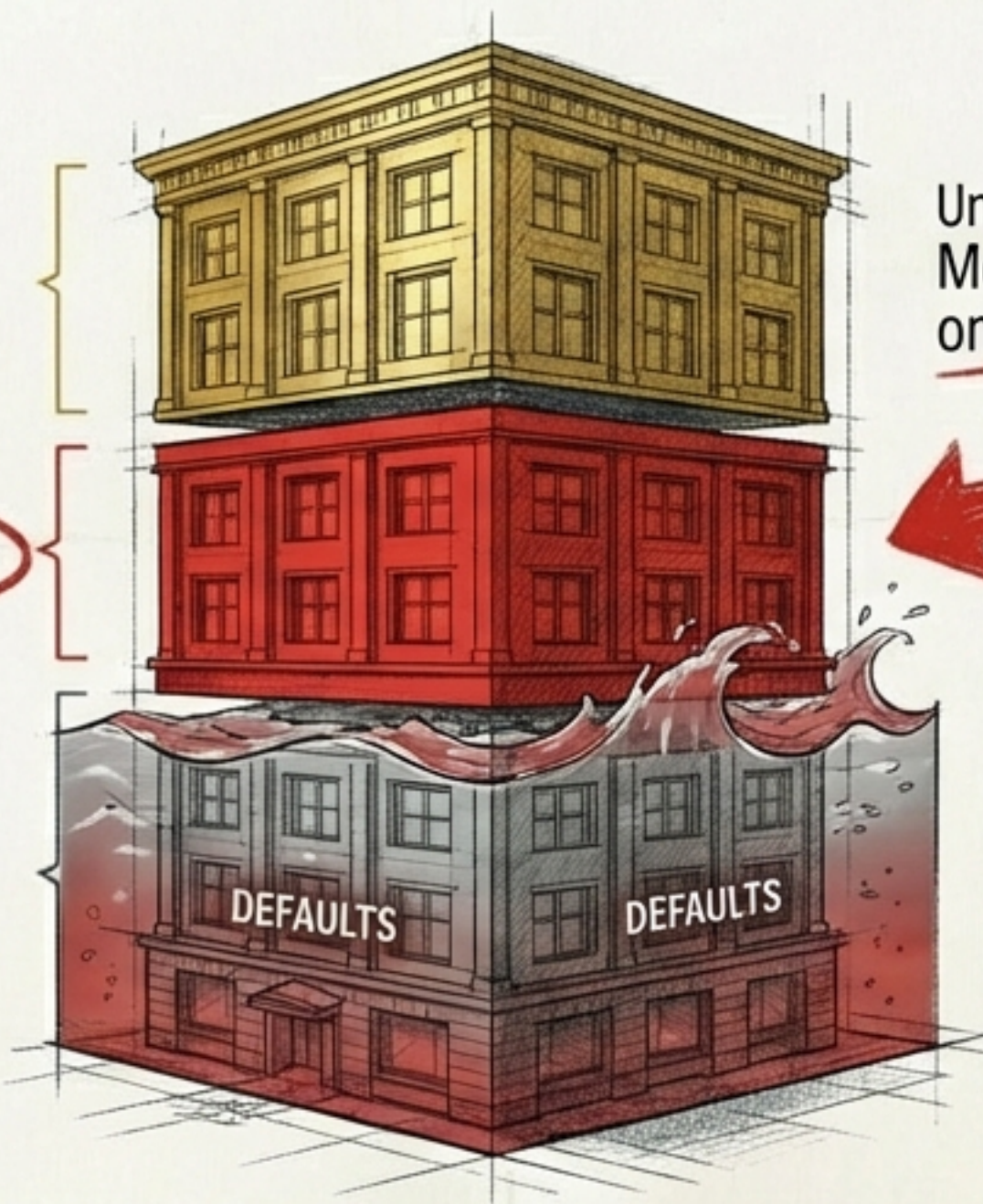
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AAA (Safe)  
Paid first. Lowest Yield.

BBB (The Sweet Spot)

Equity  
First Loss.



Univers Monospace,  
Mezzanine. Wiped out if  
only 7-8% of pool defaults.

**The Target: BBB.**  
Rated Investment Grade,  
but mathematically  
doomed.

LEVERAGE!  
↓

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Data annotations and captions use Univers Monospace,  
mimicking ticker tape or typewriter text.



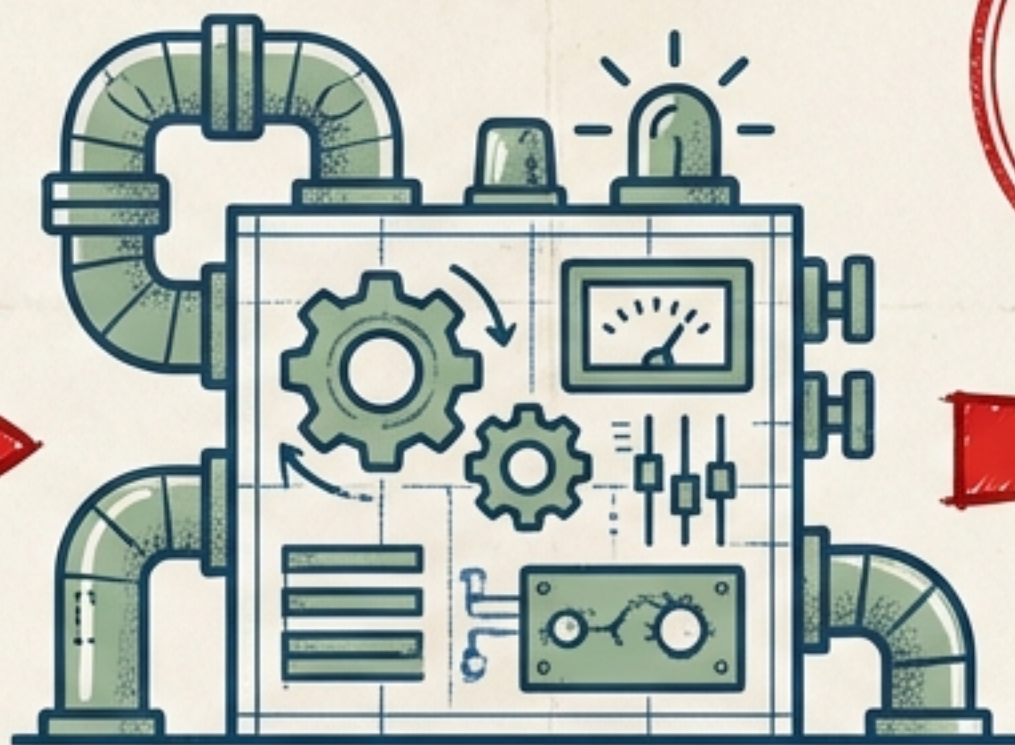
Forensic Editorial

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# THE ALCHEMY: THE CDO MACHINE



**Unsold BBB Bonds**  
(Toxic)



**CDO**  
(Collateralized Debt Obligation)



**New CDO**

• **AAA**  
(Gold)

Repackaged  
80% as Safe

**Laundering Risk:** Repackaging the junk to look like treasure.

EVIDENCE

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DO NOT IGNORE

of wires



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# HARVESTING THE THIN FILE

*Hand notes*

## THE METRIC



The Metric.  
Mercury Text G1

*Data klink:*

THE EXPLOIT:  
Immigrants with short  
credit histories  
("Thin Files") have  
artificially high scores.

**INCOME: \$14,000**



**LOAN: \$724,000**

## THE REALITY



The Reality  
Mercury Text G1

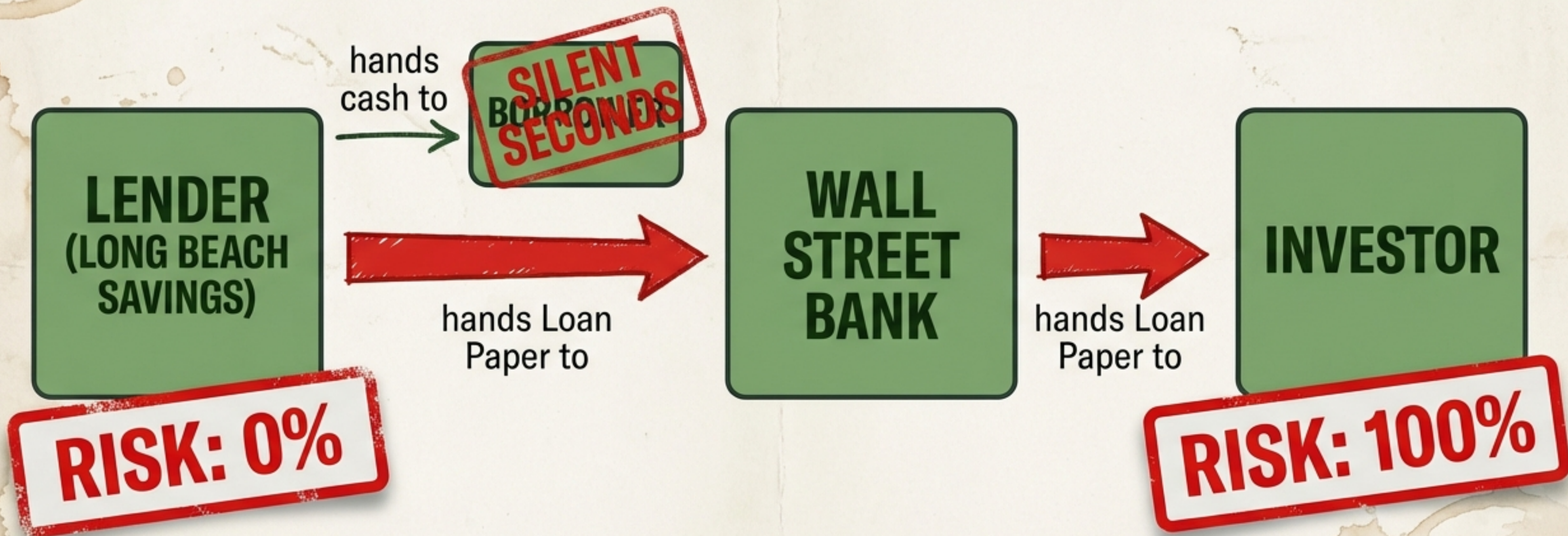
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"THE MEXICAN HARVESTED STRAWBERRIES;  
"THE MEXICAN HARVESTED STRAWBERRIES; WALL STREET HARVESTED HIS FICO SCORE."



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# THE ORIGINATE-TO-SELL MODEL



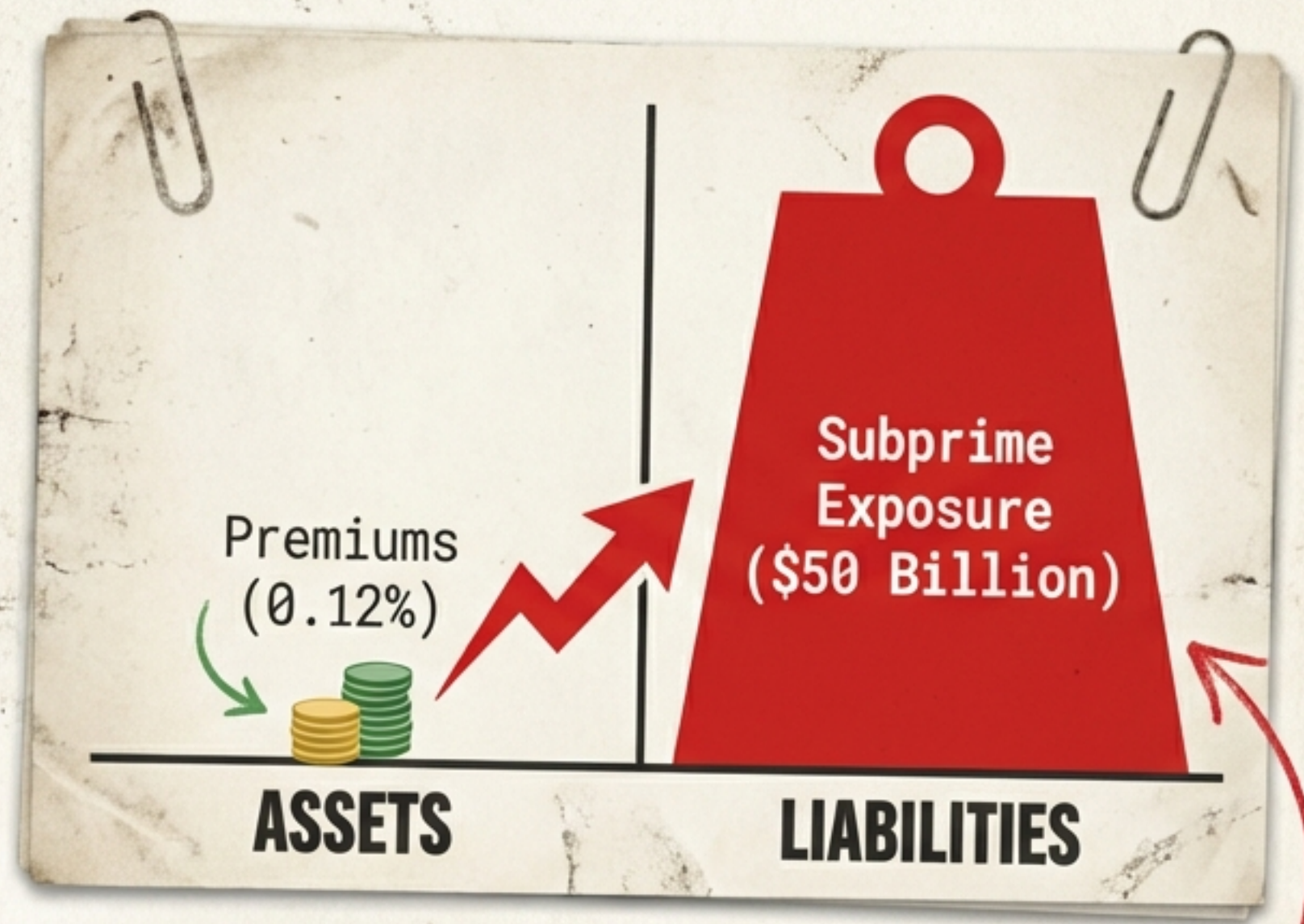
Lenders don't care if Mercury Text G1

Lenders don't care if loans go bad because they sell them immediately.



# THE DUMB MONEY: AIG FINANCIAL PRODUCTS

# AIGFP



Joe Cassano's Division. Insuring the "Super-Safe" Tranches.

**The Logic:** They assumed real estate prices would never fall nationwide.

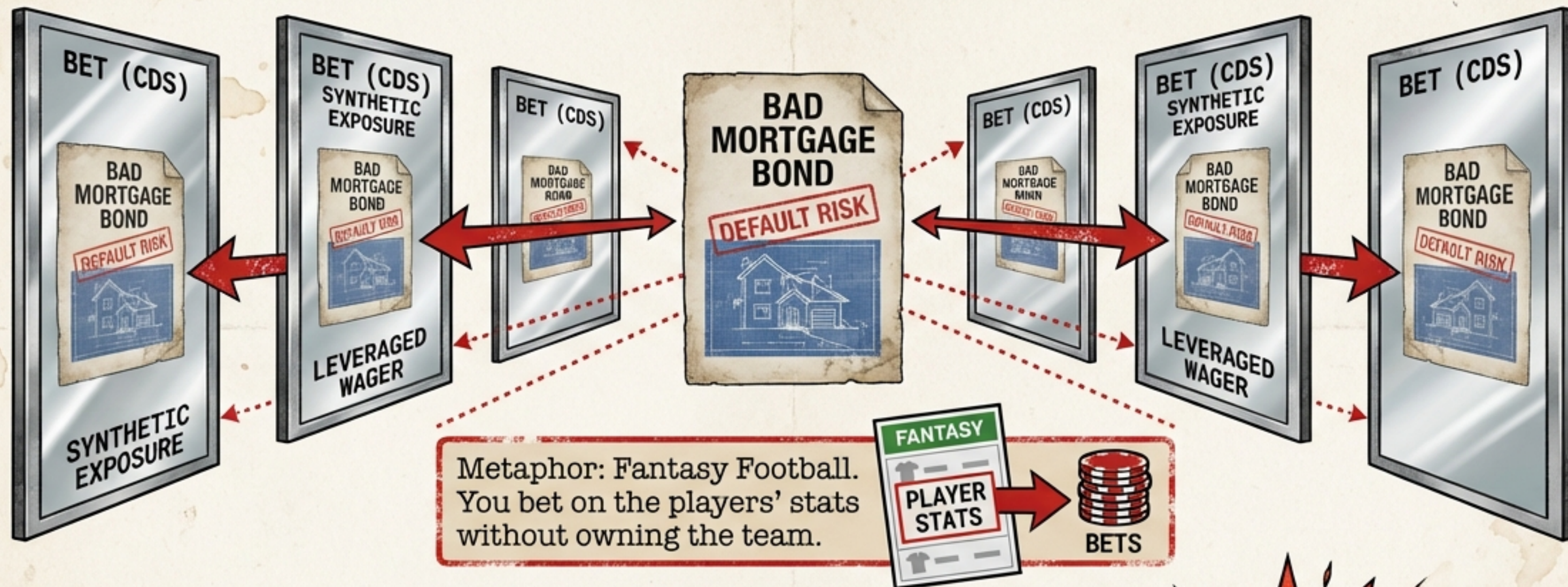


# FANTASY FINANCE: THE SYNTHETIC CDO

The Innovation: A bond made entirely of bets (CDS), not actual loans.

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## THE CONSEQUENCE: MAGNIFICATION

A \$1 billion actual loss generates  
tens of billions in  
synthetic losses.

**ACTUAL LOSS  
\$1 BILLION**

**SYNTHETIC  
LOSSES  
\$10+ BILLION**

LEVERAGE  
EFFECT

MULTIPLE  
PAYOUTS ON  
SAME ASSET

The Art of  
IG. GS. 74

Forensic Editorial

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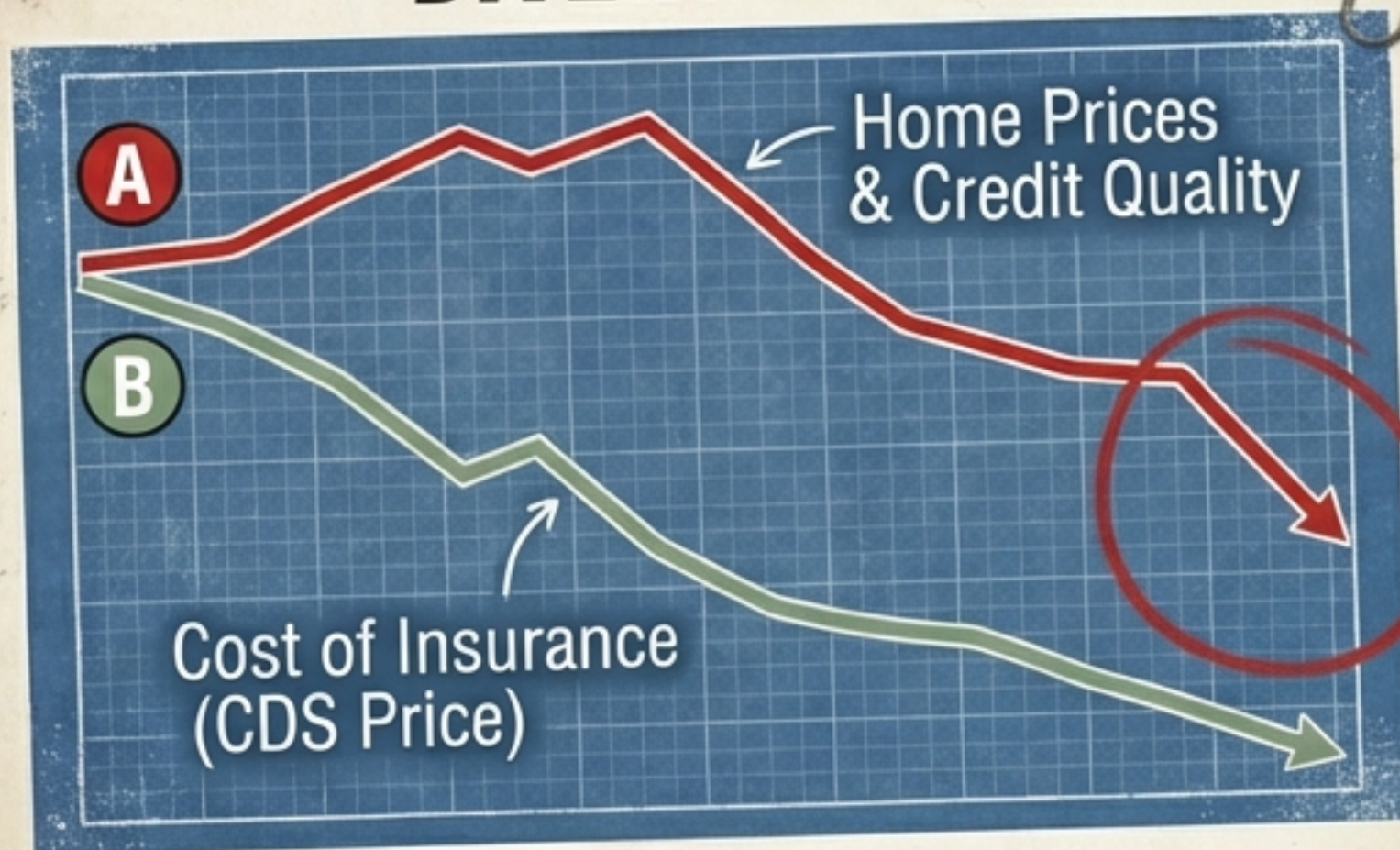


# THE RIGGED MARKET: MID-2006

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## DIVERGENCE



## THE IMPOSSIBLE GAP

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Defaults rose, yet the cost of insuring bonds dropped. Why? Denial and manipulation.

"I'm not saying you'll date Jessica Simpson, but..."

— **Greg Lippmann**  
(Shorting his own market)

The Artso of  
Ist. GS. 74

Forensic Editorial

Forensic 1. Editorial



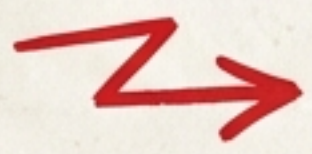
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# TOO GOOD TO BE TRUE

## Cornwall Capital (Charlie Ledley & Jamie Mai)



Garage



**BETTING TICKET**

|                   |                    |
|-------------------|--------------------|
| Wager:            | \$26,000           |
| Potential Payout: | <u>\$3,000,000</u> |
| Odds:             | 100 to 1           |

00315335

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Wall Street Tower

### Why is someone smarter than us not doing this?

Wall Street was structurally blind.





# THE END OF THE BEGINNING

**Burry:** Holding  
**\$1 Billion** Short.

**Eisman:** Shorting  
Lenders & Bonds.

**Lippmann:** Shorting  
the Market.



**AIG:** Holding the  
Bag (**\$50 Billion**).

The machine is primed. The housing market has turned.  
They are holding the matches.